This advice is organized according to the specific behavior it addresses. All four behaviors are "wealth hazards" resulting frequently from overconfidence.

1. *Unfounded belief in own ability to identify companies as potential investments.* Many overconfident investors claim above-average aptitudes for selecting stocks, but little evidence supports this belief. The Odean study showed that after trading costs (but before taxes), the average investor underperformed the market by approximately 2 percent per year.[5] Many overconfident investors also believe they can pick mutual funds that will deliver superior future performance, yet many tend to trade in and out of mutual funds at the worst possible times because they chase unrealistic expectations. The facts speak for themselves: from 1984 through 1995, the average stock mutual fund posted a yearly return of 12.3 percent, whereas the average investor in a stock mutual fund earned 6.3 percent.[6]

   An advisor whose client claims an affinity for predicting hot stocks should consider asking the investor to review trading records of the past two years and then calculate the performance of the client's trades. More often than not, the trading activity will demonstrate poor performance (if it doesn't, go back further in time).
2. *Excessive trading.* In Odean and Barber's landmark study, "Boys Will Be Boys," the average subject's annual portfolio turnover was 80 percent (slightly less than the 84 percent averaged by mutual funds).[7] The least active quintile of participants, with an average annual turnover of 1 percent, earned 17.5 percent annual returns, outperforming the 16.9 percent garnered by the Standard & Poor's index during this period. The most active 20 percent of investors, however, averaged a *monthly* turnover of over 9 percent, and yet realized pretax returns of only 10 percent annually. The authors of the study do indeed seem justified in labeling trading as hazardous.

   When a client's account shows too much trading activity, the best advice is to ask the investor to keep track of each and every investment trade and then to calculate returns. This exercise will demonstrate the detrimental effects of excessive trading. Since overconfidence is a cognitive bias, updated information can often help investors to understand the error of their ways.
3. *Underestimating downside risks.* Overconfident investors, especially those who are prone to prediction overconfidence, tend to underestimate downside risks. They are so confident in their predictions that they do not fully consider the likelihood of incurring losses in their portfolios. For an advisor whose client exhibits this behavior, the best course of action is twofold. First, review trading or other investment